

Brazil polls show fragility of Lula's momentum

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Daily Brief

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summary

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Polls show Brazilian President Luiz Inacio Lula da Silva's weekend boost fading ahead of the 4 October vote, making it harder to gauge momentum.

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The political damage of Germany's painful industrial restructuring is likely to exceed the macroeconomic impact.

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Restrictions imposed on data centers is not likely to hamper the US AI buildout or hinder US competitiveness relative to China.

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In Mexico, Morena is well positioned to retain the majority of governorships up for election in 2027 while keeping a simple majority.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Germany, Mexico, Panama, energy, geoeconomics, geo-technology, and trade.

the top line

Brazil—Polls highlight the fragility of Lula's momentum

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Recent polls show Lula's weekend boost fading ahead of the first-round vote, with measures announced last week having less impact than his Workers' Party hoped, and one survey showing rival Flavio Bolsonaro narrowly edging ahead in a runoff simulation, making it harder to gauge momentum.

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A poorly constructed remark by Lula urging men to get prostate exams, noting women are used to "being touched" from a young age in reference to gynecological exams, handed opponents a misleading attack line. The episode points to a vulnerability: at 80, Lula's ability to deliver crisp, unambiguous remarks has declined, and his debate presence, most likely in a runoff, could prove a liability.

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A dossier from Bolsonaro's former business partner alleging corruption and Supreme Court interference has gained limited traction, though it falls short of direct incrimination, pointing to a potential vulnerability in a runoff.

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Read more here , and read Brazil's election guide here . Reach out to discuss: brazil@eurasiagroup.net .

Geoeconomics, Brazil—Chart of the day

Germany—Slow industrial transformation will deepen political polarization

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Germany will likely undergo a painful industrial restructuring rather than conventional deindustrialization, as the economy benefits from fiscal expansion, rotation into new sectors, and productivity gains.

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The political damage will exceed the macroeconomic impact, as the adjustment falls on the auto and energy-intensive sectors central to the western industrial heartlands, where the far-right AfD and left-wing populists are likely to make significant gains in the 2027 state elections.

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Growth will remain sub-par into the 2030s amid key structural weaknesses, while Berlin will aim to cushion the impact through energy subsidies and more protectionist measures to counter China's aggressive trade practices.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

US, Geo-technology—State data center restrictions won't slow US buildout

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The most likely scenario is that most states impose conditional restrictions on data center buildouts (55% odds), followed by a fragmented landscape of permissive and restrictive state approaches (40%), while widespread state and federal moratoria remain unlikely (5%).

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In all but the third scenario, the restrictions imposed on data centers will not hamper the US AI buildout or hinder US competitiveness relative to China.

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To keep pace, data center operators will move projects to more permissive jurisdictions or absorb the increased costs of compliance.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Mexico—Morena well positioned to win majority of 2027 state elections

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Morena is well positioned to retain the majority of governorships up for election in 2027 while keeping a simple majority amid moderate losses in the lower house at the national level, likely increasing its

reliance on the allied Green Party (PVEM) to advance priority legislation.

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President Claudia Sheinbaum remains the ruling coalition's main arbiter, albeit not an uncontested one, after managing the preliminary selections for Morena's 17 gubernatorial candidates, in which she prioritized party unity and candidates without alleged ties to criminal organizations.

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A solid midterm performance would allow Sheinbaum to maintain influence over the 2030 presidential succession processes, though disaffected factions within the ruling coalition will increasingly push their own agendas as they position for the next election cycle.

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Read more here . Reach out to discuss: mexico@eurasiagroup.net .

US, Energy—What to watch on diesel export restriction odds

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We continue to see proscriptive diesel export restrictions as unlikely (40% odds) in early October, provided diesel prices continue their recent downward trend and global supplies loosen as Middle East exports increase.

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The administration is still working on a voluntary agreement with refiners that would let them claim to have taken action without limiting markets. Without a clear enforcement mechanism, the deal is unlikely to have a major impact on export volumes or pricing.

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If additional diesel volumes from the Middle East, India, or potentially EU strategic stockpile releases fail to materialize or hold in October, key arguments against restrictions weaken, making US action more likely. This week's contract expiration, a threshold opponents had flagged, is now past. The administration may become more risk-tolerant, especially if price reductions stall.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

upcoming conference calls

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2 October 8:00 AM ET—Brazil update. Register here .

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4 October 9:00 PM ET—Brazil update: Election night. Register here .

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5 October 8:00 AM ET—Brazil update (In English). Register here .

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5 October 9:30 AM ET—Brazil update (In Portuguese). Register here .

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7 October 10:00 AM ET—Mexico update. Register here .

eg in brief

Panama—Mulino likely to move ahead with mine reopening despite ‘closure’ recommendation: President Jose Raul Mulino intends to reopen First Quantum's Cobre Panama mine despite a ministerial committee recommending "orderly closure." The committee's own finding that the state cannot finance that process effectively provides the grounds for reopening, echoing Mulino's pledge to "reopen the mine to close it." The administration intends to sign an administrative contract with First Quantum rather than seek congressional approval, with the state retaining ownership of the concession and contracting the company as operator, a structure that sidesteps the legislature and the mining moratorium, which applies only to private-sector mining. The reopening timeline will likely extend well into next year, particularly if negotiations with First Quantum prove difficult. Opposition is unlikely to reach the explosive levels of 2023, when protests shuttered the mine, though a simultaneous severe drought could heighten pushback over water concerns, and Moody's is due to review Panama's credit rating before year-end. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

US, Geo-technology—Permitting package would accelerate timelines and raise costs for data center power procurement: A bipartisan Senate permitting reform package is set for a lame-duck vote after the midterms, with House passage likely to follow. The primary threat is that Democrats may lose faith that the White House will stick to its commitments on wind and solar projects stalled by the Trump administration. The bill would amend the Federal Power Act to forbid data-center infrastructure costs from being distributed to other ratepayers, require greater financial assurances from developers, and allow utilities to charge data centers higher rates than other large industrial consumers, emboldening a state-level trend toward large load tariff structures. These provisions will likely raise all-in energy costs for new data centers but improve policy certainty for credible projects, addressing a major barrier for the industry. More broadly, improved permitting certainty will pave the way for the US AI buildout to continue despite recent policy volatility. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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1 October: Events: Hong Kong and China markets closed through 7 October; Data: US construction spending, and ISM manufacturing.

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2 October: Data: Brazil industrial production, Eurozone CPI, Japan unemployment, Russia GDP, US unemployment, nonfarm payrolls, and factory orders.

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4 October: Events: Brazil first round presidential election.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“I respect all religions and also those who have no religion.”—Brazil’s presidential challenger Bolsonaro said, referring to a conspiracy theory that he would remove Our Lady of Aparecida as the country’s patron saint. The rumor has rocked Brazil, a majority Catholic country, days before the presidential election.

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